

because they depend on both your own returns as well as those of your peers.²⁴ You want to “keep up with the Joneses.” I call this family of utility functions “*relative utility*” because a person’s utility is defined relative to the wealth or actions of others.

Catching up with the Joneses is a realistic utility function for individuals who don’t want to feel left out when their golf club buddies are jumping on the hottest investment tips. The same individuals feel *schadenfreude* when their neighbors stumble. The syndrome is especially relevant for endowment managers, mutual fund managers, and others who are explicitly benchmarked against their peers. If the standard expected utility framework in section 2 involving wealth can be described in terms of greed, catching up with the Joneses is really about envy.

Another interpretation of having utility depend on the wealth or consumption of others is that relative utility reflects status. In asset management, status is associated with better performance, more wealth, or consuming more than one’s peers.²⁵ Michael Lewis (1989) would refer to catching up with the Joneses preferences as “big swinging dick” utility, in the spirit of his book about Wall Street, *Liar’s Poker*.

One of the consequences of catching up with the Joneses is that investors herd. Demarzo, Kaniel, and Kremer (2005) show that when one set of investors (the Joneses) in a local community takes a position in certain stocks, whether for a rational reason like hedging or even for irrational reasons, then other investors hold the same stocks to keep up with the Joneses. If portfolio managers are benchmarked to each other, they will want to hold the same stocks. Herding arises endogenously, even if there is no explicitly set benchmark, in catching up with the Joneses, because there is large risk for investors in deviating from the pack. The positive versus normative implications really bite with this utility formulation. Take the board of trustees of an endowment. Do you explain (ex post) the fact that you are going with the crowd because your endowment manager has used a catching-up-with-the-Joneses utility function (positive), or are you adopting a catching-up-the-Joneses utility function because you really are benchmarked against your other endowment peers, in which case the optimal asset allocation policy is to go with the pack (normative)?²⁶

4.6. UNCERTAINTY AVERSION

We measure how often bad times occur with a probability density function (see section 2.1). But what if agents do not have a single probability distribution in

²⁴These are also called interdependent preferences and consumption externalities in utilities, which were first introduced by Dusenberry (1952). Catching up with the Joneses utility was first formulated by Abel (1990) and Galí (1994). Note that whether you “catch up” or “keep up” with the Joneses is just a matter of timing and irrelevant for the purposes of this discussion.

²⁵See Heffetz and Frank (2011).

²⁶Goetzmann and Oster (2012) argue that universities vigorously compete with each other, resulting in herding in asset allocation policies.